

Can we measure Spotify's conversion bet?

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THE SHORT VERSION

True free→paid conversion at Spotify is undisclosed — this pack does not pretend otherwise. What the file supports: a labeled proxy (incremental Premium capture of MAU adds, median ~0.43 over the trailing eight computed quarters), a widening Ad>>Premium growth wedge, a price-hike calendar that is an ARPU story rather than a conversion story, and one live experiment that resolves when the Q3'26 6-K files.

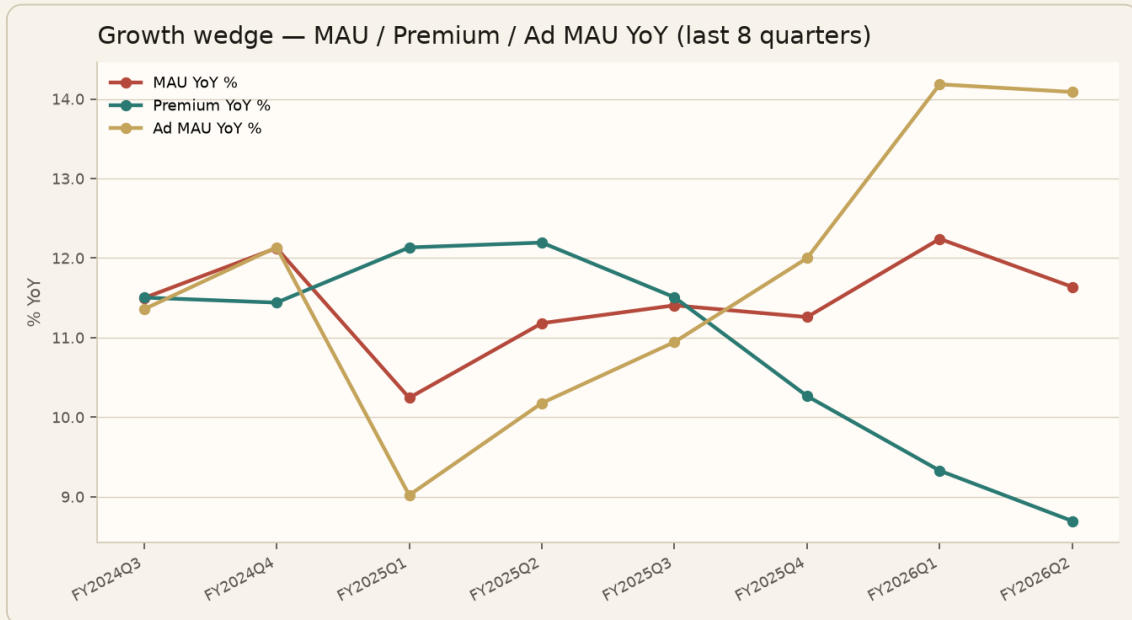
Spotify is asking investors to believe a specific story: soft near-term MAU in emerging markets is not demand failure — it is **intentional friction** (ad load, product optimization) meant to improve **free→paid conversion** over a longer EM cycle. At the same time, Premium list prices keep rising, and ARPU keeps getting credit for “price increase benefits.”

Those are two different machines. This dig separates them.

The cash cow is Premium. The valuation question is whether free users convert (and stay converted) — not whether Premium is a large *stock* of MAU. **True free→paid conversion is undisclosed.** Churn as a filing KPI is discontinued. Premium and Ad-Supported MAU are overlapping cohorts, so Ad MAU is not a clean free pool. What follows is a framework of **labeled proxies and a live experiment** — not a pretend conversion rate.

The picture that matters first: the wedge

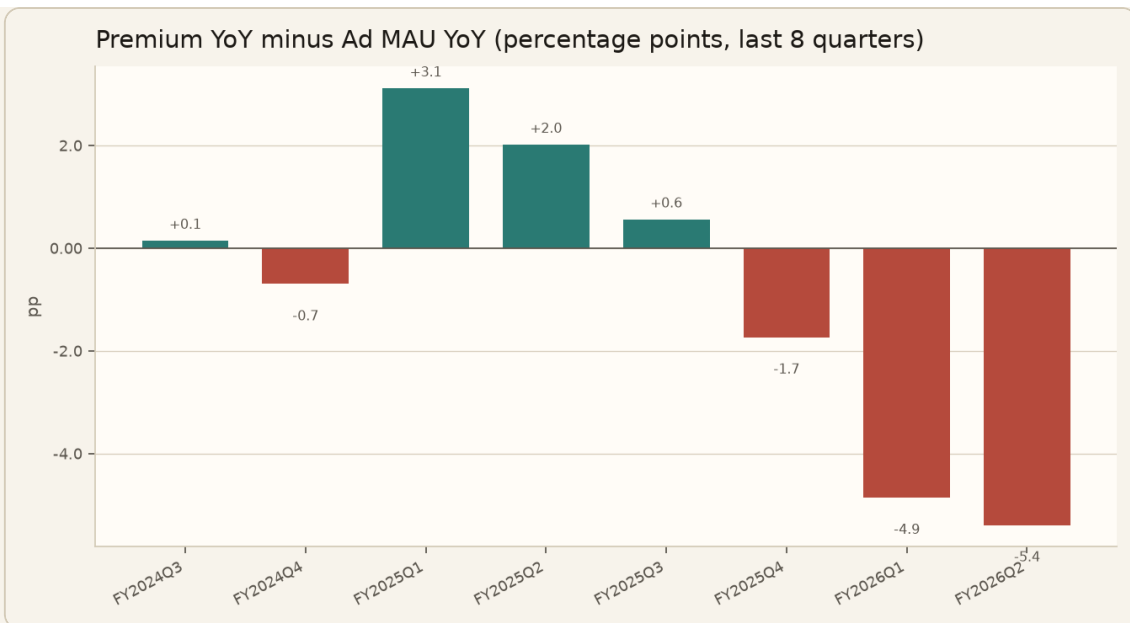
For eight quarters, MAU year-on-year has lived in a narrow ~11–12% band. That is neither a cliff nor a re-acceleration. Premium tells a slower story: subscriber YoY decelerated from roughly **12% in H1'25** to roughly **9% in H1'26**.



Eight quarters in a narrow band: MAU YoY holds ~11–12% while Premium cools from ~12% to ~9% and Ad MAU re-accelerates to ~14%. Free is outgrowing paid. METHOD M2 (data/method_b_growth_wedge.json): exact YoY on the pack series; IR rounds Q2'26 to MAU 12% / Premium 9%.

Diagnosis only — YoY differentials are not a free→paid conversion rate.

The sharper tell is the **growth wedge**. In FY2026Q1–Q2, Ad-Supported MAU YoY ran about **14%** while Premium YoY ran about **9%**. The Prem–Ad gap widened to roughly **–5 percentage points**. Top-of-funnel / free growth is outrunning paid growth. A conversion *bet* has to close that wedge eventually. ARPU expansion does not close it.



The wedge gap flipped negative in FY2025Q4 and widened to -4.9pp / -5.4pp in H1'26 — the tension a conversion bet must eventually close. METHOD M2 (data/method_b_growth_wedge.json): $\text{premium_yoy_pct} - \text{ad_mau_yoy_pct}$. Percentage-point gap between two YoY rates. Not a conversion measure.

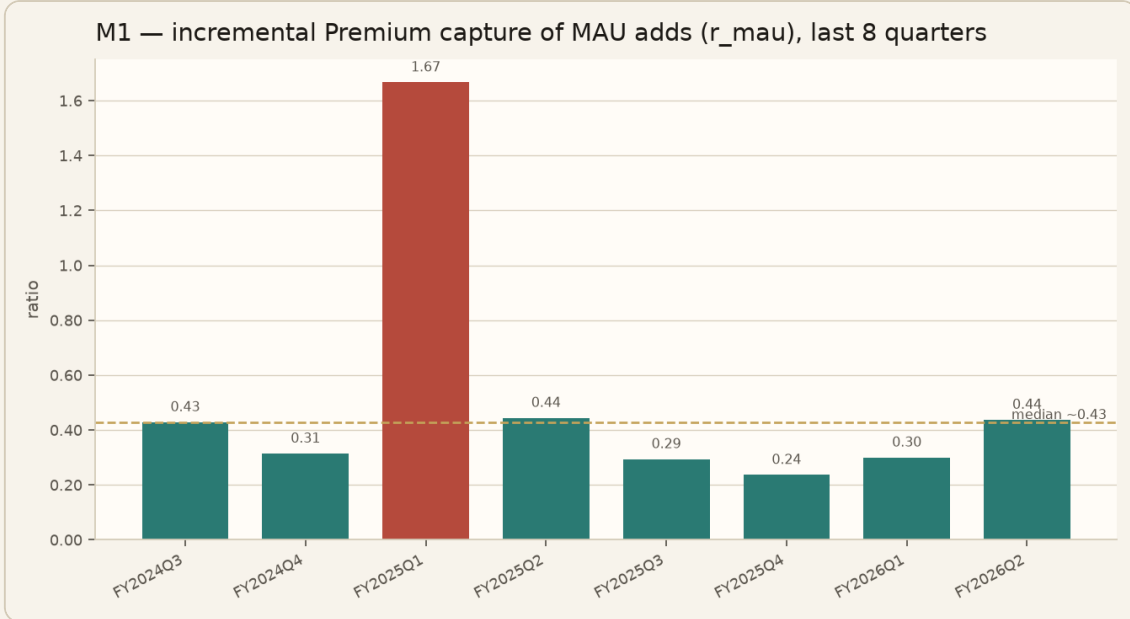
What we refuse to call conversion

Investor Day 2026 slides a “**40% Global Conversion Rate**” (p139) next to stock paid-penetration charts (US/Canada 32%→60%, Brazil 22%→44%). That is a **deck stock shadow** — the same family as $\text{Premium} \div \text{MAU}$ ($\sim 38.6\%$ at Q2'26) — not a free→paid flow rate. We reject it as our metric. At most, one footnote: stock Premium/MAU exists; it is not conversion.¹

Best flow proxy: incremental Premium capture of MAU adds (M1)

When MAU is still growing, we ask a narrower question: of the *net* MAU expansion in a quarter, how much co-moves with *net* Premium expansion?

M1 = $\text{Premium net adds} \div \text{MAU net adds}$ — labeled **incremental Premium capture of MAU adds**. Never “conversion rate $\approx X\%$.”



Range 0.24–1.67, median ~0.43. FY2025Q1’s 1.67 (brick) is an Ad-shrink / mix outlier — Ad MAU fell 2M while Premium rose 5M — so lean on the median, not the spike. METHOD M1 (data/method_a_incremental.json): Premium net adds ÷ MAU net adds; quarters with MAU adds ≤ 0 would be flagged, none occurred. Labeled proxy — never “conversion $\approx$ X%”. Churn is discontinued, so gross adds cannot be split from churn.

Quarter	Prem net (M)	MAU net (M)	Capture of MAU adds (r_mau)
FY2024Q3	6	14	0.43
FY2024Q4	11	35	0.31
FY2025Q1	5	3	1.67 ← outlier
FY2025Q2	8	18	0.44
FY2025Q3	5	17	0.29
FY2025Q4	9	38	0.24
FY2026Q1	3	10	0.30
FY2026Q2	7	16	0.44

Trailing eight quarters with a computed ratio: **0.24–1.67**, median about **0.43**.

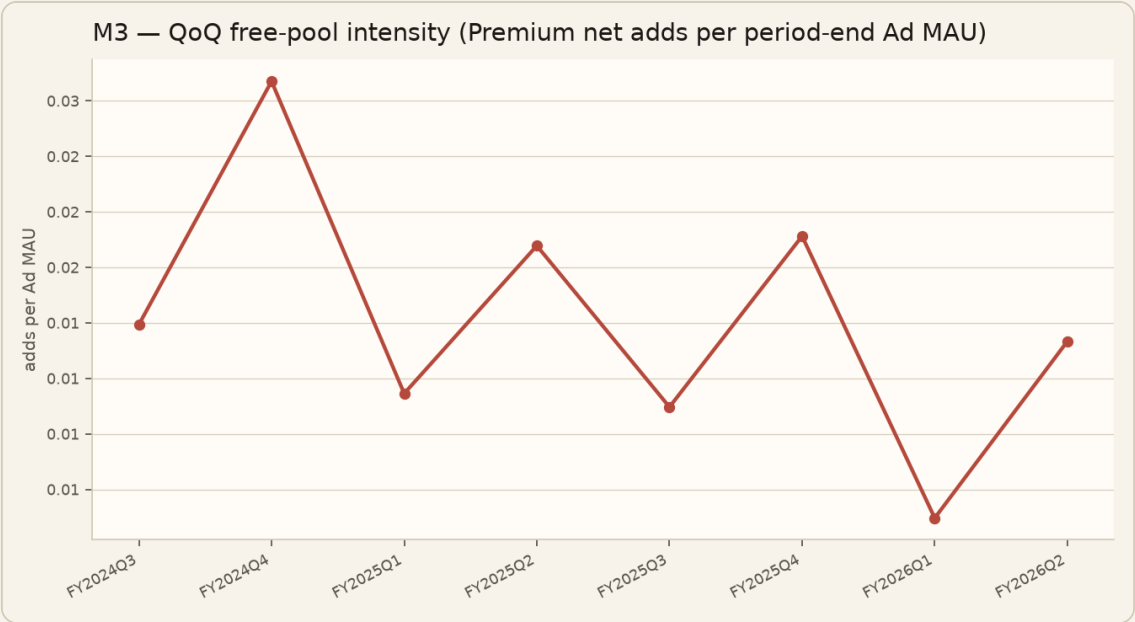
FY2025Q1’s 1.67 is not a triumph. Ad MAU *fell* 2 million that quarter while Premium rose 5 million. That is overlap and mix (and a skipped Ad-denominator ratio), not proof that “two-thirds of MAU adds

converted.” Lean on the **median ~0.43** and the H1’26 wedge — not the spike.

No quarter in the series has MAU net adds ≤ 0 ; every quarter is shown. Quarters with Ad MAU net adds ≤ 0 get the Ad-side ratio flagged, not silent-dropped.

Confidence: low–moderate for *direction*; not bankable as a probability. **Falsify:** a disclosed free→paid / trial→paid / cohort conversion series; or Premium net adds collapsing while MAU holds.

A twin free-pool intensity (M3) — Premium net adds per period-end Ad MAU — is useful only as a **QoQ trend**. Annualizing it implies a conversion probability the data cannot support.



Trend read only: intensity oscillates with Q4/Q1 seasonality and shows no level shift after the Jan’26 US hike. METHOD M3 (data/method_m3_freepool_intensity.json): Premium net adds ÷ period-end Ad MAU. Deliberately not annualized — ×4 would imply a conversion probability the data cannot support.

Ad MAU overlaps Premium cohorts — not a clean exclusive free pool.

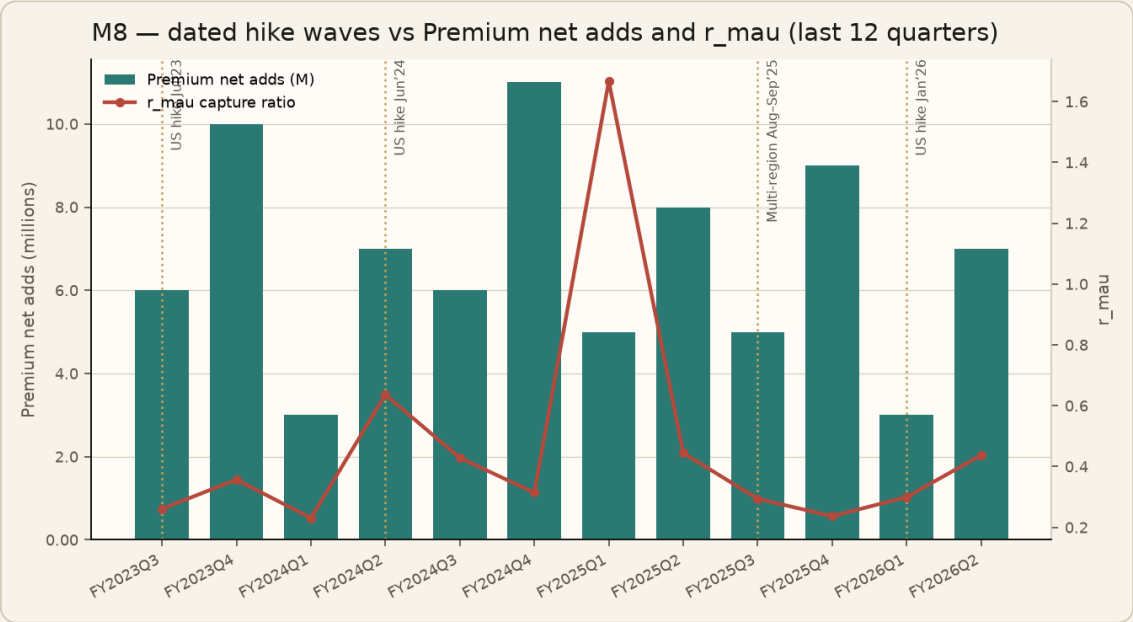
Price is the ARPU story (M8) — not the conversion story

US Premium list prices (Individual / Duo / Family / Student), as sourced from Newsroom and press:

Wave	Quarter	Individual	Duo	Family	Student
2023-07-24	2023Q3	\$9.99→\$10.99	\$12.99→\$14.99	\$15.99→\$16.99	\$4.99→\$5.99

2024-06-03	2024Q2	\$10.99→\$11.99	\$14.99→\$16.99	\$16.99→\$19.99	\$5.99 unchanged
2026-01-15	2026Q1	\$11.99→\$12.99	\$16.99→\$18.99	\$19.99→\$21.99	\$5.99→\$6.99

Broader sourced coverage (UK 2021/2023/2024/2025, France, Canada, India Aug'25 first hike, Australia Sep'25, Switzerland, Brazil/Mexico 2023 lists, plus waves where markets are named but plan amounts unknown) lives in `m8\_pricing\_timeline.md` — 54 dated old→new plan changes. Investor Day power-law slides show **\$12.99 / \$6.99** tiers (p68/p72) — consistent with the Jan'26 US card, not a separate conversion disclosure.



Premium net adds stay positive through every dated hike wave while r_mau oscillates mid-range — price monetizes the existing base; no clean conversion-lift signature. After the Jan'26 US hike the Ad>>Prem wedge widened. METHOD M8 (expansion/ m8_pricing_timeline.md — 54 sourced old→new plan changes) joined to M1.
 Bars: Premium net adds (millions, left). Line: r_mau (right). Gold markers: sourced hike quarters.

Around dated hike quarters, the observables are consistent:
Premium net adds stay positive; IR attributes ARPU growth to **price increase benefits**, partially offset by product/market mix; M1 capture ratios do not print a clean “conversion lifted” signature. After the Jan'26 US hike, the Ad>>Premium YoY wedge actually **widened**.

So: hikes monetize the *existing* Premium base (and mix). That is M4's guardrail — subscriber growth plus ARPU growth explain Premium revenue. **Calling ARPU up “conversion” is a category error.**

Confidence on the price→ARPU link: high (company language + series). **Confidence on price→free→paid:** low — not evidenced by M1/M2.

Regional RoW MAU mix rising (12%→37% over FY2018–FY2025) is background pressure, not a conversion rate. Without Premium-by-geo, price and mix cannot be decomposed into a geo conversion story. We do not lead with RoW.

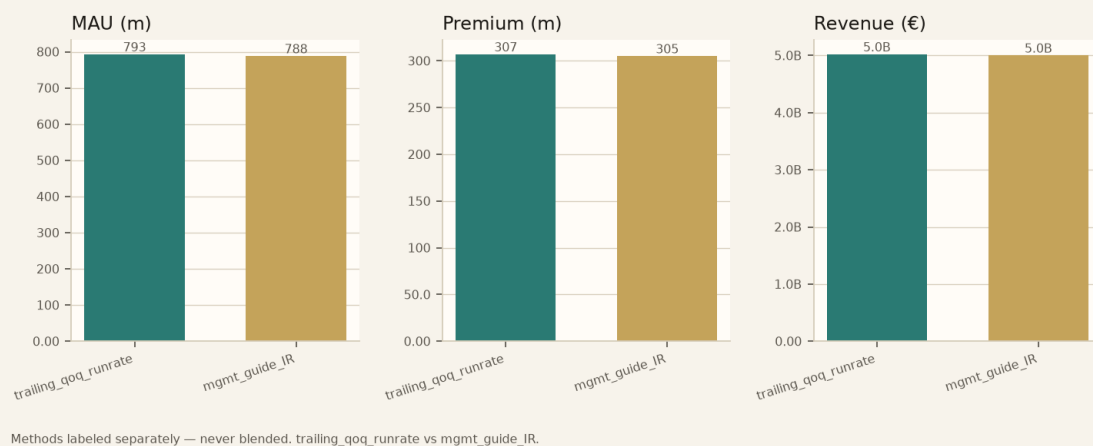
The live experiment (M7)

Co-CEO language (Q2'26 prepared remarks): adjust ad load and product optimization in select emerging markets to drive higher user conversion; it “will show itself in our Q3 MAU”; free→paid cycles in EM take longer; they “do not expect it to come at the expense of our subscriber growth.”

CFO scoreboard for the test:

	Trailing QoQ run-rate	Company guide (Q3'26)
MAU	~793	788
Premium	~307	305

Q3'26 — trailing run-rate vs management guide (labeled, never blended)



The M7 scoreboard: mechanical trailing_qoq_runrate (MAU ~793 / Premium ~307) next to mgmt_guide_IR (MAU 788 / Premium 305). Conversion-friendly = MAU soft vs run-rate while Premium holds at or above guide. Even a consistent print is consistency with the bet — not proof.

Two methods, labeled separately — never blended. Guide is IR narrative (kpi_extract=false), never written into historical SoT.

Conversion-friendly print: $\text{MAU} \leq \text{guide}$ (or soft vs run-rate) **and** $\text{Premium} \geq \text{guide}$. **Weakens the sold story:** both soft; or Premium misses while MAU holds/beats. **Even a “consistent” print is not proof** — only consistency with the bet. True conversion remains undisclosed.

Q2 already previewed the shape: MAU adds **1M below** forecast; Premium **1M ahead** of guidance. That is the experiment starting, not the result.

What Investor Day adds — and what it doesn't

ID'26 talks “strong Paid conversion” in established markets and “massive Free growth” in developing ones (p138). It shows freemium funnel slides and retention/LTV language — including a churn term in an LTV *formula* while the filing KPI stays discontinued.

Audiobooks+ (> \$100M ARR in Q2 remarks; “spend more and stay longer” on ID) is Premium *value* and retention color, not a free→paid rate.

None of that replaces a disclosed conversion metric. Feature lists cannot clear Latent's **primary falsifier** (MAU / engagement). Podcast and audiobook **hours and share remain null** in the public KPI cut.

Bottom line

1. **True free→paid conversion: cannot measure** with current filings and IR. 2. **Best quantitative proxy:** M1 incremental Premium capture of MAU adds — **median ~0.43** last eight computed quarters; range wide; FY2025Q1 1.67 is an overlap outlier. 3. **Price hikes: ARPU story (M8), not conversion lift.** 4. **The wedge (Ad YoY >> Prem YoY in H1'26) is the tension** a conversion bet must eventually resolve. 5. **M7 is the live test** when the Q3'26 6-K files — Premium resilience under intentional soft MAU.

Until a real conversion (or trial→paid / cohort) series appears, Latent should treat “we’re investing in conversion” as a **hypothesis under experiment**, not a measured input to the multiple.

Gaps (explicit)

- True free→paid / trial→paid / cohort conversion: undisclosed
- Premium churn KPI: discontinued
- Geo Premium / ARPU-by-region / conversion-by-geo: blocked (annual MAU mix only)
- Format engagement hours + share: null
- Some multi-market hike posts omit list-price tables (documented in M8)

Product asks (one line each)

1. Nullable extract path for any free→paid / trial→paid / cohort conversion if it ever appears — never backfill from Premium÷MAU. 2. Geo Premium or ARPU-by-region into analytics if disclosed beyond MAU mix %. 3. Lightweight text index for 100MB+ IR PDFs so desks can quote without shipping 952MB attachments.

Refuse

Inventing a true conversion %; treating $\text{Premium} \div \text{MAU}$ or ID “40%” as conversion; additive $\text{Premium} + \text{Ad} = \text{MAU}$; calling ARPU after hikes conversion; blending Q3 guide with run-rate; inventing churn or geo conversion.

¹ Footnote only: Q2’26 $\text{Premium} \div \text{MAU} \approx 38.6\%$; ID p139 “40% Global Conversion Rate” is a stock/deck label — not used as our conversion estimate.

Sources: analytics / pack series; Q2’26 Prepared Remarks + Shareholder Deck (`kpi\_extract=false`); Investor Day 2026 PDF sampled in-cabinet (not attached); Spotify Newsroom / press for M8 list prices. METHOD labels on every proxy as above.

METHOD & DEFINITIONAL NOTES

- True free→paid conversion is undisclosed in filings and IR; every conversion-flavored number in this pack is a labeled proxy, never a conversion rate.
- Premium MAU + Ad-Supported MAU are overlapping period cohorts — not additive to total MAU.
- premium_over_mau_pct is a stock proxy — not a conversion rate. ID p139 "40% Global Conversion Rate" is the same stock family; footnote only.
- $M1\ r_mau = \text{Premium net adds} \div \text{MAU net adds}$ — incremental Premium capture of MAU adds, never "conversion $\approx$ X%".
- M3 QoQ intensity is a trend read only; $\times 4$ annualizing would imply a conversion probability the data cannot support.
- IR decks/remarks are narrative and guide only (kpi_extract=false). Guide is not written into historical SoT.
- Q3'26 run-rate and management guide are two labeled methods — never blended.
- Premium+Ad MAU overlapping cohorts — NOT additive to total MAU
- Q4 residuals: $ARPU = 4 \times FY\ avg - Q1 - Q3$; $OI = FY - Q1 - Q3$; Premium/Ad rev = $FY - Q1 - Q3$; $OM = OI / rev$
- FY2021/FY2023 Premium from analytics/pack fixed 8460m / 11566m
- pe_ttm only 2 FY prints; USD/EUR not FX-adjusted; interims price-only
- Diluted shares 34 periods; latest 208858469 at 2026-06-30
- kpi_extract false on IR decks — narrative/guide only
- 68 period parse-warnings in the file (16 Q4/residual-related). Residuals already on series.json are respected; this builder does not recompute them. Examples: q4_users_from_20f_ye; financials_may_be_residualized; q4_revenue_residual_fy_minus_q1q2q3; q4_cost_of_revenue_eur_residual_fy_minus_q1q2q3; q4_gross_profit_eur_residual_fy_minus_q1q2q3.

- Non-additive: Premium MAU and Ad-Supported MAU are overlapping bases; they are not additive to MAU.

Next steps

What the desk does next — the short list from the gaps file, not every known hole.

1. P0: Score the M7 experiment when the Q3'26 6-K files: MAU vs 788 guide / ~793 run-rate; Premium vs 305 guide / ~307 run-rate — conversion-friendly = soft MAU + Premium holds (Desk)
2. P0: Nullable extract path for any free→paid / trial→paid / cohort conversion if it ever appears — never backfill from Premium÷MAU (Product)
3. P1: Geo Premium or ARPU-by-region into analytics if disclosed beyond MAU mix % (Product / Analytics)
4. P2: Lightweight text index for 100MB+ IR PDFs (952MB ID'26 deck) so desks can quote without shipping attachments (Product)
5. P2: Keep podcast/audiobook hours + share first-class nullable; no inference from qualitative MD&A (Analytics)

Self-contained file: every chart is an embedded PNG — no canvas library, no CDN, no network needed. Historicals come from the desk series file (filings extract); guidance and product color come from Q2'26 IR materials, which are narrative only (kpi_extract=false) and never overwrite the extract.

FCF rule: Honor quarter | ytd | annual tags. Never invent a Q4 residual from annual minus intra-year prints.